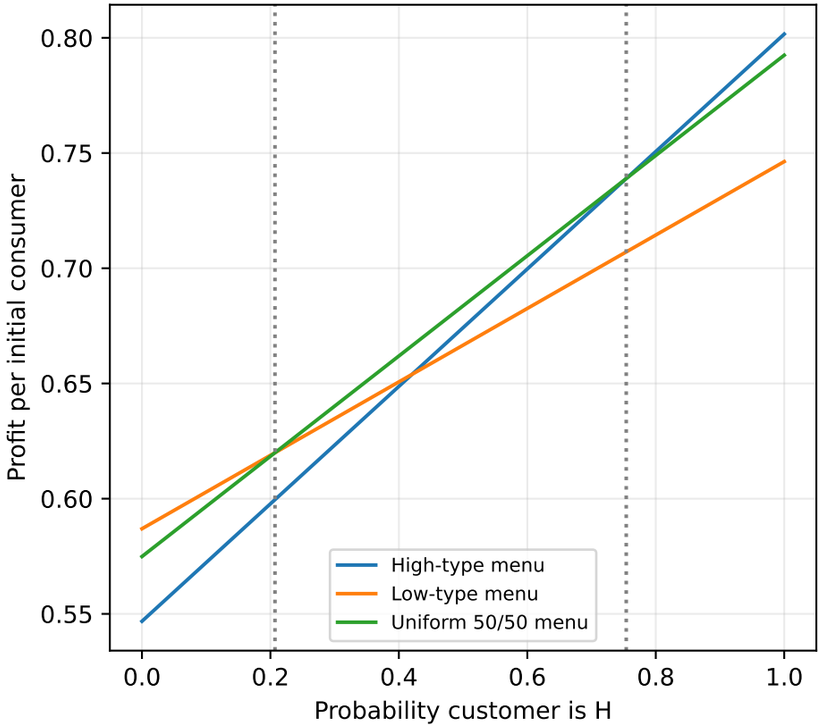
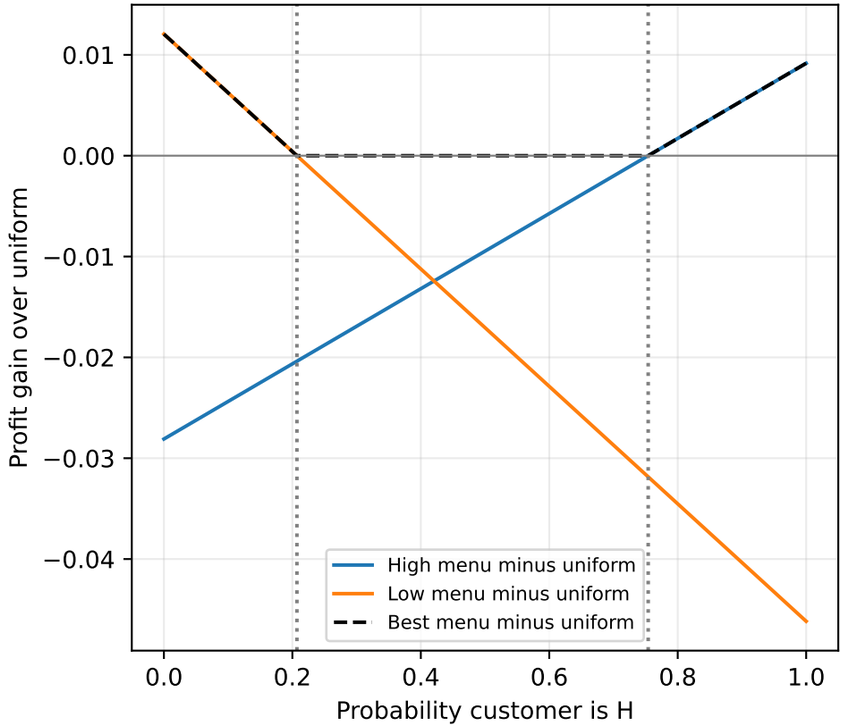
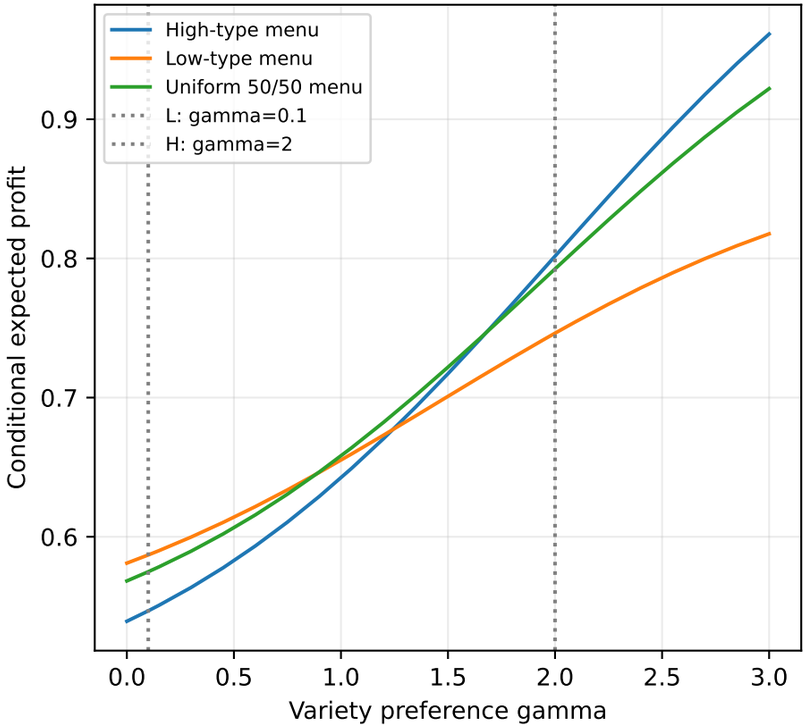

Profit per initial consumer
0.80
0.75
0.70
0.65
0.60
0.55
0.0
0.2
0.4
0.6
0.8
1.0
Probability customer is H
High-type menu
Low-type menu
Uniform 50/50 menu


Profit gain over uniform
0.01
0.00
−0.01
−0.02
−0.03
−0.04
0.0
0.2
0.4
0.6
0.8
1.0
Probability customer is H
High menu minus uniform
Low menu minus uniform
Best menu minus uniform


Conditional expected profit
0.9
0.8
0.7
0.6
0.0
0.5
1.0
1.5
2.0
2.5
3.0
Variety preference gamma
High-type menu
Low-type menu
Uniform 50/50 menu
L: gamma=0.1
H: gamma=2